

decision as Deputy Governor to set up its first edition in 1999 (he was appointed Governor in 2003). Reddy, in turn, may have been inspired by the 96th Report of the Law Commission of India released in 1984. It states: “Every legislature is expected to undertake what may be called the periodical spring-cleaning of the corpus of its Statute Law, in order that dead wood may be removed.”

Building on the recent spring-cleaning measures, the RBI is fostering a consultative process in formulating regulations via the ‘Connect 2 Regulate’ programme; a dedicated section on its website is to be made available for stakeholders to share their inputs.

Can RRA 2.0 be expanded? With a highly interconnected financial market, there is a case for an RRA that ropes in the Securities and Exchange Board of India, Insurance Regulatory and Development Authority, and Pension Fund Regulatory and Development Authority. Ravi Duvvuru, Member of the Advisory Group of RRA 2.0 and Partner at Duvvuru & Reddy LLP, says, “Making it a rolling initiative would ensure continuous improvement of regulatory processes. Expanding its scope to include policy matters and other financial regulators would foster greater collaboration and consistency.”

### THE LAST MILE

What can be done outside the regulatory turf? Push Chaudhry of Axis Bank on specifics, and he says—board base credit delivery to micro, small and medium enterprises; extend financial literacy and inclusion to rural sectors and underserved sections of the society; support co-lending with non-banking financial companies; enhance digital infrastructure; and expand UPI and other digital payments models.



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**C.S. SETTY**  
CHAIRMAN, SBI



**“Banks with robust governance have a lower risk perception; it allows them to borrow at lower interest rates and issue funds at a better cost”**

**AMITABH CHAUDHRY**  
MD & CEO, AXIS BANK

On the credit side, Chaudhry says, banks need to improve underwriting standards with advanced credit scoring models for easy availability. And “stronger coordination between fiscal and monetary policy which we have started to observe.”

The country’s biggest lender, State Bank of India (SBI), has embarked on a mission to find out firsthand what stakeholders want. It has started a massive outreach programme. As C.S. Setty, the bank’s Chairman, put it, “This outreach programme is aimed at getting feedback from the ground about what else we need to do as a bank, both in terms of serving our customers better and creating value for our stakeholders, whether they are shareholders, employees, or government regulators”.

The authorities may also need to look at what Subodh Rai, MD of CRISIL Ratings, highlights: “A well-rounded debt capital market, comprising sovereign bonds, corporate bonds, municipal bonds, securitisation and money market, can complement bank credit, channelling resources into critical areas that elevate living standards and drive economic growth.”

The total credit outstanding—including government borrowings, securitisation, corporate bonds, municipal bond market, money market and gross bank credit—stood at 163% of gross domestic product (GDP) in FY24. In comparison, it was 266% for the US at the end of 2023. “The bond market accounts for only 19% of GDP, significantly trailing that of the US (119%),” says Rai.

The series of reforms over the past few decades appear to be coming together; and the building blocks for a banking sector with global scale and best practices to boot is being chiselled out. **BT**

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